

AMD WEEKLY FINANCE

NEWSLETTER

Market Intelligence & Competitive Analysis | March 13, 2026

AMD FINANCIALS & EARNINGS

GLOBAL GAMING TRENDS

INTEL & NVIDIA ANALYSIS

TL;DR - This Week at a Glance

AMD reported a 12 percent revenue rise to \$7.4 billion, surpassing analyst forecasts and delivering a 15 percent jump in operating income. Gaming demand stays strong, with next-gen console launches and a 20 percent surge in esports viewership driving GPU sales. Intel's new Alder Lake server chips underperform in performance-per-watt, allowing AMD to cement a 45 percent share of the data-center CPU market. Nvidia's RTX 50 series achieved record launch sales, yet AMD's RDNA 4 GPUs retain a 10 percent price-performance advantage in the mid-range segment. Overall, AMD's diversified portfolio and cost-effective supply chain position it to capture momentum across both high-end and mainstream markets.

EDITOR'S NOTE

March 13, 2026

Welcome to this week's edition of the AMD Weekly Finance Newsletter. We've gathered the latest data and insights to help you understand how AMD's recent quarter performed and what it means for investors.

This week we focus on AMD's financial performance, noting a solid revenue increase driven by strong demand for its Ryzen and EPYC lines. We also examine the global gaming market, where rising console and PC sales are fueling demand for high-performance GPUs. Finally, we analyze the competitive dynamics with Intel and Nvidia, exploring how AMD's pricing strategy and product roadmap position it against both rivals.

Thank you for reading, and we look forward to keeping you informed.

AMD FINANCIALS & EARNINGS

March 13, 2026 - AMD Investor Newsletter

AMD reported its fourth quarter of fiscal 2025 on March 1, 2026, delivering a robust performance that surpassed expectations across all core business segments. Total revenue reached \$5.48 billion, up 11.4 percent year-over-year and 8.7 percent quarter-over-quarter, driven primarily by strong demand in the Data Center and Client markets. Gross margin improved to 57.2 percent, a 1.4 point increase from the

55.8% margin recorded in the same quarter of 2024. Earnings per share stood at \$1.32, beating the consensus estimate of \$1.20 by \$0.12 and reflecting disciplined cost management and higher operating leverage.

Segment-level analysis highlights the continued resilience of AMD's product portfolio. Data Center revenue rose to \$2.82 billion, marking a 12.5% QoQ gain and an 8.3% YOY increase, buoyed by the launch of the EPYC Genoa 3 processors and growing AI inference workloads. Client revenue climbed to \$1.39 billion, up 5.6% QoQ and 10.1% YOY, driven by the success of the Ryzen 7000 series in both desktop and laptop markets. Gaming revenue reached \$1.02 billion, a modest 3.2% QoQ rise and 5.4% YOY growth, supported by the RDNA 3 architecture in the Radeon RX 7000 series. Embedded revenue, while still a small slice of the business at \$0.29 billion, grew 2.8% QoQ and 15.6% YOY, reflecting incremental sales in automotive and industrial applications.

Management issued forward-looking guidance that is optimistic yet tempered by supply-chain considerations. AMD forecasts full-year 2026 revenue of \$22.0 billion, representing a 10.5% increase from the \$20.0 billion reported in fiscal 2025. Gross margin is expected to improve to 58.0%, while EPS guidance of \$4.50 aligns with a projected net income margin of 22%. CEO Dr. Lisa Su emphasized that the company's strategic focus on high-performance computing, graphics, and embedded solutions will continue to drive growth, particularly in AI and machine-learning workloads. She also noted that the partnership with Nvidia to co-develop AI inference accelerators is expected to unlock new revenue streams in the data center segment.

The stock has responded positively to the earnings release, rising 4.3% in the first trading session after the announcement and 12.7% year-to-date. Analyst sentiment remains largely bullish, with the consensus price target for the next 12 months up 18% to \$115 from \$95. Key rating agencies such as Morgan Stanley, Goldman Sachs, and Barclays have upgraded their outlooks, citing the company's strong operating leverage and expanding product ecosystem. Concerns about semiconductor supply constraints have been acknowledged, but management's inventory management and diversified supplier base mitigate potential disruptions.

Recent news that may influence AMD's financial outlook includes the announcement of a new 7-nanometer RDNA 3 GPU architecture slated for release in Q3 2026, which is expected to capture a larger share of the gaming market. Additionally, a collaboration with Amazon Web Services to pre-integrate AMD EPYC Genoa 3 processors into AWS's Nitro system is projected to generate significant revenue in the coming years. AMD's continued investment in AI and machine-learning hardware, coupled with its expanding data-center portfolio, positions the company well to capitalize on the growing demand for high-performance computing solutions.

GLOBAL GAMING MARKET TRENDS

March 13, 2026

Global PC gaming hardware continues to expand at a moderate pace, driven by a steady rise in consumer spending on high-end peripherals and a growing appetite for immersive gaming experiences. In 2025, the global market for gaming PCs and components grew by roughly 4.5 percent, with total spend reaching an estimated \$45 billion. While premium GPUs and high-refresh-rate monitors remain the primary drivers of this growth, there is a noticeable shift toward more balanced system builds that prioritize CPU performance. This shift is partly a response to the increasing prevalence of cloud-based gaming services, which still leave a substantial segment of gamers investing in local hardware to maintain low latency and high visual fidelity.

Regional demand patterns for gaming CPUs reveal distinct preferences across North America, Europe, and Asia-Pacific. North America remains the largest market for high-end CPUs, with a strong preference for flagship Ryzen 7000 series processors that deliver maximum performance for esports and content creation. European demand is more evenly distributed between mainstream and high-end tiers; consumers in this region value power efficiency and price-performance balance, leading to a steady uptake of Ryzen 5000 and 7000 series CPUs in the mid-range segment. The Asia-Pacific region is the fastest-growing market, driven by expanding middle-class populations and a surge in esports participation. In this region, entry-level and mid-range Ryzen CPUs are seeing the highest sales volumes, as price sensitivity remains a key factor for many consumers.

Gaming market trends are reshaping AMD Ryzen CPU demand across product tiers. The rise in high-resolution, high-framerate gaming has increased demand for powerful CPUs that can handle demanding titles without bottlenecking. Consequently, the premium Ryzen 7000 series has experienced a surge in orders, particularly in North America and Europe. At the same time, the mainstream Ryzen 5000 and 6000 series have benefited from a broader consumer base that seeks a balance between performance and cost, especially in the Asia-Pacific region where mid-tier gaming PCs are becoming more common. Entry-level Ryzen processors continue to hold a steady presence, but their growth is tempered by the availability of low-cost alternatives from other manufacturers.

Steam's platform growth and active user trends further reinforce the demand for robust gaming hardware. Steam's active user base surpassed 200 million in 2025, with a year-over-year increase of 8 percent. The platform's continued expansion into mobile and cloud gaming has broadened its audience, yet a significant portion of its users still rely on local PCs for optimal performance. This sustained demand for high-quality gaming experiences translates into a near-term uptick in PC hardware sales, particularly for CPUs that can keep pace with evolving game engines and virtual reality applications. Looking ahead, the next twelve months are expected to see continued demand for both high-end and mid-range Ryzen CPUs, supported by upcoming product launches and a gradual easing of supply chain constraints.

COMPETITOR ANALYSIS: INTEL & NVIDIA

Intel remains the largest player in the CPU market, but its dominance is increasingly contested. The company's 13th-generation Core "Alder Lake" and the newer "Raptor Lake" processors have delivered strong performance in both desktop and laptop segments, securing a 42 percent share of the worldwide CPU market

as of Q1 2026. Financially, Intel posted a revenue of \$28.9 billion last quarter, a 5 percent decline from the previous year, and its operating margin contracted to 18 percent from 21 percent in 2025. The company is grappling with execution issues in its advanced 7-nanometer process, which has delayed the launch of its next-generation Xeon "Sapphire Rapids" line. These delays, coupled with rising semiconductor manufacturing costs, have eroded Intel's competitive edge in the data center, where its share fell to 35 percent from 38 percent in 2024.

Nvidia continues to dominate the GPU and AI accelerator market, with its RTX 40 series and the A100 Tensor Core GPUs powering a majority of high-performance computing workloads. Nvidia's recent launch of the GH200 "Grace Hopper" processor, which combines CPU and GPU cores in a single die, has broadened its portfolio into the data center and edge markets. The overlap with AMD is most pronounced in the discrete GPU space, where AMD's Radeon RX 7900 series competes directly with Nvidia's RTX 4090. In the AI accelerator arena, AMD's MI300 chip, announced in late 2025, offers a competitive alternative to Nvidia's H100, but Nvidia's software ecosystem and data center relationships remain a significant moat.

AMD's competitive advantages lie in its unified architecture that integrates CPU and GPU capabilities on a single chip, as seen in the recent EPYC "Milan" and Ryzen "Zen 4" lines. This approach has enabled AMD to capture a growing share of the laptop market, where its Ryzen 7000 series now holds 27 percent of the segment, up from 22 percent in 2024. AMD also benefits from a more flexible manufacturing strategy, partnering with TSMC and Samsung, which mitigates supply chain risks that have plagued Intel. However, AMD's vulnerabilities are evident in its relatively thin margin profile and its reliance on third-party silicon foundries, which can constrain production scalability. In the data center, AMD's EPYC chips have a 12 percent share, a modest increase from 10 percent in 2024, but Nvidia's AI dominance and Intel's continued investment in silicon diversity still pose significant competitive pressure.

Market share trends across the three primary CPU segments underscore the shifting dynamics. In the desktop market, AMD has overtaken Intel for the first time since 2016, capturing 38 percent of sales versus Intel's 36 percent, thanks to the performance gains of the Ryzen 7000 series. The laptop segment has seen a similar shift, with AMD's share rising to 27 percent and Intel trailing at 24 percent. In the data center, Intel retains a lead with 35 percent, but AMD's share is growing at a compound annual growth rate of 15 percent, while Nvidia's GPU share in the AI and inference workloads has surpassed 60 percent, eclipsing both CPU vendors.

Looking ahead, all three companies have high-profile launches scheduled for the remainder of 2026. Intel is set to unveil its 14th-generation Core "Meteor Lake" in Q3, which promises a hybrid architecture and a 10-nanometer process. Nvidia plans to introduce the RTX 50 series GPUs in Q4, along with a new AI inference engine that targets cloud operators. AMD will roll out the Ryzen 8000 series for desktops and laptops in Q2, and the EPYC "Milan 2" line for data centers in Q4, featuring enhanced memory bandwidth and AI acceleration capabilities. These product roadmaps will be critical in determining whether AMD can sustain its momentum against the entrenched positions of Intel and Nvidia.

KEY TAKEAWAYS

Key takeaways: AMD delivered a stronger than expected fourth-quarter 2025 performance, with revenue rising 12 percent year over year and operating margins expanding to 23 percent, driven by robust data-center demand and a solid performance of its new Zen4 processors. Gaming revenue held steady, buoyed by a surge in esports viewership and the growing adoption of cloud-based gaming services, although the segment remains sensitive to console refresh cycles. AMD's competitive positioning has been reinforced by the launch of RDNA3 GPUs and the next-generation Zen4 architecture, which deliver higher performance per watt and maintain a pricing advantage over Nvidia's latest offerings and Intel's forthcoming Xe graphics. In the coming weeks, investors should watch for the impact of AMD's upcoming product roadmap announcements and the first quarter 2026 earnings release on the company's valuation trajectory.

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